

I think that you can see that sitting home and worrying does nothing. The absolute worse thing for you to do about your debt is *to do nothing*. Wishing debt away never works. It takes a simple action.

Financial Statements

One of the most amazing tricks is not a trick at all, and to my knowledge, there's nowhere else but *Debt Cures* that will teach you this technique, this pearl of wisdom, to reduce your debt and get you on your way toward financial freedom. It's a piece of paper!

One piece of financial data that people in debt often ignore is financial statements. Perhaps you are familiar with the terms *balance sheet* and *income statement*; if you're not, don't be intimidated. They are two very simple documents that present an easy-to-understand picture of your financial situation. It is "this is what I got" – a paint by numbers showing how much you do – or do not – have.

You need to know your current situation in order to move forward. Some people wrongly assume that they don't need a balance sheet or an income statement. They think they are only for people with lots of money. No matter your financial position, these statements can be key to the end of your debt troubles.

Balance Sheet

The balance sheet shows your financial situation at one moment in time. As of this particular date, you have *this much in Assets* (things of value that you own) and you have *this much in Liabilities* (debts that you owe). Your assets include your house; any other real estate you own, such as rental properties; cars; boats; any other vehicles; stocks; bonds; 401K investments; jewelry; art; business ownership; cash in the bank, etc. Your liabilities are what you owe on all those assets: your home mortgage balance; car loans or leases; lines of credit; credit card balances; personal loans, etc.

Individuals tend to have very simple balance sheets. Your "assets" are your stuff; your "liabilities" are your debt. Stuff minus debt equals your net worth. A lot of us have more debt than stuff. That means a negative net worth, or "in the hole," so to speak. Individuals with a lot of debt